

Award
FINRA Dispute Resolution Services

In the Matter of the Arbitration Between:

Claimant
Boustead Securities, LLC

Case Number: 25-01407

vs.

Respondent
Pono Capital Corp.

Hearing Site: Los Angeles, California

Awards are rendered by independent arbitrators who are chosen by the parties to issue final, binding decisions. FINRA makes available an arbitration forum—pursuant to rules approved by the SEC—but has no part in deciding the award.

Nature of the Dispute: Member vs. Member

This matter proceeded pursuant to Rule 13801 of the Code of Arbitration Procedure (“Code”).

REPRESENTATION OF PARTIES

For Claimant Boustead Securities, LLC (“Claimant”): Tara Hopper Rice, Esq., Frost Brown Todd LLP, Pittsburgh, Pennsylvania.

Respondent Pono Capital Corp. (“Respondent”) did not enter an appearance.

CASE INFORMATION

Statement of Claim filed on or about: April 30, 2024.

Amended Statement of Claim filed on or about: February 24, 2025.

Claimant signed the Submission Agreement: April 30, 2024.

Respondent did not file a Statement of Answer or sign the Submission Agreement.

CASE SUMMARY

In the Statement of Claim, as amended, Claimant asserted the following causes of action: breach of contract; quantum meruit; unjust enrichment; and costs and attorneys’ fees.

RELIEF REQUESTED

In the Statement of Claim, as amended, Claimant requested:

1. Damages in an amount of approximately \$1,500,000.00 representing the lost value from the shares that Respondent failed to issue to Claimant for 14 months, in breach of the

Agreements;

2. An award for Claimant's reasonable attorneys', paralegals', and experts' fees, and all other reasonably necessary fees, costs, and expenses it incurs in connection with this arbitration, in an amount to be determined at the arbitration hearing;
3. An award of pre-judgment and post-judgment interest; and
4. Such other and further relief as the arbitration panel may deem just and proper under the circumstances of this case.

OTHER ISSUES CONSIDERED AND DECIDED

The Arbitrator acknowledges having read the pleadings and other materials filed by the parties.

Respondent did not file a properly executed Submission Agreement but is required to submit to arbitration pursuant to the Code and is bound by the determination of the Arbitrator on all issues submitted.

Respondent did not file a Statement of Answer. Respondent is an inactive, terminated member. The Claim Notification Letter dated May 17, 2024, and the Overdue Notice (including the Statement of Claim) dated July 9, 2024, were sent to Respondent's address contained in Respondent's CRD records by regular mail and FedEx, and they were returned to FINRA Dispute Resolution Services.

The Claim Notification letter notified Respondent that FINRA rules require parties to use the online DR Portal on a mandatory basis (except pro se investors) and that failure to register for the DR Portal will prevent the submission of pleadings, selection of arbitrators, and receipt of notification relating to case information and deadlines. Respondent failed to register for the DR Portal. The Arbitrator found that service was sufficient as Claimant provided proof of service.

The Arbitrator determined that Respondent is, therefore, bound by the Arbitrator's ruling and determination.

Claimant's claims against Respondent were originally brought in FINRA Arbitration Case 24-00936 ("Original Case"). On February 24, 2025, Claimant filed a Motion to Amend Statement of Claim in the Original Case, to which no response was filed. On April 3, 2025, the Panel granted the motion in the Original Case.

On June 17, 2025, Claimant filed a Motion for Default Proceedings against Respondent pursuant to Rule 13801 of the Code in the Original Case, to which no response was received. Accordingly, Claimant's claims proceeded against Respondent pursuant to Rule 13801 of the Code, the claims against Respondent were bifurcated from the Original Case, and the Chairperson appointed in the Original Case became the sole arbitrator to decide this matter.

AWARD

After considering the pleadings, the Arbitrator has decided in full and final resolution of the issues submitted for determination as follows:

1. Respondent is liable for and shall pay to Claimant the sum of \$2,569,148.00 in compensatory damages.
2. Respondent is liable for and shall pay to Claimant interest on the above-stated sum at the rate of 10% per annum from December 18, 2025 until the Award is paid in full.
3. Respondent is liable for and shall pay to Claimant the sum of \$50,207.00 in attorneys' fees pursuant to the Engagement Agreement.
4. Any and all claims for relief not specifically addressed herein are denied.

FEES

Pursuant to the Code, the Arbitrator has assessed the \$300 paper decision fee to Respondent.

All balances are payable to FINRA Dispute Resolution Services and are due upon receipt.

ARBITRATOR

Marc S. Joseph

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Sole Non-Public Arbitrator

I, the undersigned Arbitrator, do hereby affirm that I am the individual described herein and who executed this instrument, which is my award.

Arbitrator's Signature

Marc S. Joseph

Marc S. Joseph
Sole Non-Public Arbitrator

12/08/2025

Signature Date

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December 09, 2025

Date of Service (For FINRA Dispute Resolution Services use only)